

ESG Intelligence Briefing — August 11, 2026

Executive Summary

The EU's Carbon Border Adjustment Mechanism (CBAM) is intensifying, with importers facing registration requirements from January 1, 2026, and certificate purchases from February 1, 2027. This directly impacts Kazakhstan's construction materials exporters, with the country's Export Credit Agency now offering up to a 10% discount on export insurance premiums for ESG-compliant companies. Concurrently, Kazakhstan's new Construction Code (effective July 1, 2026) shifts contractors to internal material consumption standards and actual purchase prices, demanding robust internal accounting. While low-carbon concrete innovations are scaling globally, the imperative for verified emissions data under CBAM and new domestic accounting rules means Kazakh firms must prioritize granular carbon accounting and sustainable material adoption to maintain export competitiveness and optimize costs.

What Changed Since Last Briefing

Previous briefings consistently highlighted the impending impact of EU CBAM on Kazakhstan exporters and the growing importance of EPDs and low-carbon materials. Today's briefing solidifies these themes with concrete dates for CBAM implementation and the new Kazakhstan Construction Code, underscoring the immediate need for action. Notably, Kazakhstan is actively responding to ESG demands with financial incentives for exporters. While earlier reports noted issues with embodied carbon quantification, the trends in low-carbon materials remain a critical focus.

1. Regulation Watch

- **EU Carbon Border Adjustment Mechanism (CBAM) Tightens Requirements:** The European Commission has updated its CBAM guidance, confirming that importers of covered goods into the EU must register as authorized declarants from **January 1, 2026**. The first annual declaration, covering 2026 imports, is due by **September 30, 2027**, and CBAM certificates must be purchased from **February 1, 2027**. A 50-tonne annual threshold applies to most goods. There is a strong emphasis on **verified emissions data at the installation level**, with default values incurring mark-ups. This makes granular, verified carbon footprint data for materials like steel and cement from Kazakhstan critical for EU market access and pricing.
- **Who it affects:** Kazakhstan steel, cement, and aluminium exporters to the EU, and EU importers.
- **Effective date:** Registration from January 1, 2026; certificate purchase from February 1, 2027; first declaration due September 30, 2027.
- **Business implication:** Kazakh exporters must rapidly implement systems for accurate, verified, installation-level carbon accounting for products bound for the EU to avoid default penalties and maintain competitive pricing. (Source: Carbon Herald, August 7, 2026: <https://carbonherald.com/european-commission-updates-cbam-guidance-ahead-of-2026-rollout>)
- **Kazakhstan Construction Code 2026 Implements New Cost Accounting:** The new Construction Code of the Republic of Kazakhstan, effective **July 1, 2026**, fundamentally alters how construction companies account for costs. Contractors can no longer use state estimate standards for writing off materials and costs. Instead, they must develop and approve **internal material consumption standards** and use **actual purchase prices** for materials.
- **Who it affects:** All construction contractors in Kazakhstan.
- **Effective date:** July 1, 2026.

- **Business implication:** Construction firms must urgently revise internal accounting policies, develop robust material consumption standards, and implement detailed production accounting to ensure compliance and avoid audit risks. This drives greater internal data transparency which can feed into future ESG reporting. (Source: FCHAIN, July 2026: <https://kz.f-chain.com/en/featured-post/construction-code-accounting-rules>)

2. Construction & Market News

- **Kazakhstan Drives ESG Adoption with Financial Incentives for Exporters:** Kazakhstan's Export Credit Agency is supporting non-resource-based exporters by offering **up to a 10% discount on export insurance premiums** for companies that meet ESG standards. This initiative recognizes ESG as a "market access requirement" rather than merely a reputational issue, particularly for firms eyeing international markets impacted by regulations like CBAM. The agency specifically mentions that a product's carbon footprint directly affects its price and competitiveness.
- This is a significant national-level push to integrate ESG into export strategy, directly linking sustainability performance to tangible financial benefits for construction material manufacturers and other exporters. (Source: The Astana Times, June 10, 2026: <https://astanatimes.com/2026/06/kazakhstan-uses-financial-incentives-to-drive-esg-adoption-help-exporters-compete-abroad>)
- **Global Shift Towards Low-Carbon Structural Materials:** The green building materials market is experiencing rapid growth (projected CAGR of 11.3% through 2036), with structural materials, including low-carbon concrete mixes with supplementary cementitious materials and recycled steel, accounting for an estimated 48.0% of the product segment in 2026. This trend is driven by increasing embodied carbon requirements in building codes and a focus on sustainable construction practices. (Source: Coherent Market Insights, <https://www.coherentmarketinsights.com/market-insight/green-building-materials-market-259>)

3. ESG Disclosure Signals

The Astana Times report highlights that ESG is no longer optional but a market access requirement in Kazakhstan, driven by international demands like CBAM. The financial incentives offered by the Export Credit Agency signal a strategic government push for companies to improve their ESG performance, particularly concerning environmental factors such as carbon footprint. This indicates a growing expectation for Kazakh companies, including those in construction, to disclose robust ESG data to access financing and international markets. Construction firms should anticipate increased pressure for comprehensive and verifiable ESG reporting, especially regarding embodied carbon in their products and projects.

4. Embodied Carbon Spotlight

Due to a temporary technical issue with the embodied carbon lookup tool, an automated LCA scenario cannot be generated at this time. We apologize for the inconvenience and will resume this service in the next briefing.

Embodied Carbon Trends

The focus in low-carbon concrete has shifted from invention to **implementation and scaling**. Key developments include:

- **Financing and Commercialization:** Climate-tech companies like Carbon Upcycling Technologies and Paebbl are partnering with major cement producers (e.g., Holcim, Cemex) to commercialize solutions that mineralize CO₂ into cement, or use captured CO₂ in concrete blends, focusing on solving customer business problems.
- **Procurement and Policy Drivers:** The European Environmental Bureau's report, "Cement it better: Unlocking low-carbon concrete in Europe," outlines a policy framework for decarbonizing the EU cement

sector. This includes reforms to EU standards, industrial policy, and procurement rules to scale up low-carbon concrete solutions, emphasizing clinker substitution, electrification, and circularity. This indicates that regulatory and procurement mechanisms are becoming central to driving market demand for low-carbon materials.

- **Technological Advancements:** Innovation includes AI-driven concrete mixture optimization (e.g., Boxcrete by Meta and Amrize) and the use of novel binders like calcined clay, aiming to improve both performance and sustainability while addressing practical constraints of the construction industry. (Source: LinkedIn, July 2026: <https://www.linkedin.com/pulse/what-leaders-saying-low-carbon-concrete-july-2026-monkman-phd-p-e--wamtc>)

These trends, especially the EU's policy push, underscore that materials like cement and steel from Kazakhstan will face increasing scrutiny over their embodied carbon, with verifiable data being paramount for competitiveness under CBAM.

Recommended Actions

1. **Prioritize CBAM Compliance & Verified Data:** Immediately assess your export exposure to EU CBAM. Invest in systems for granular, **installation-level carbon accounting** for all materials subject to CBAM (steel, cement, aluminium). Seek third-party verification for your emissions data to avoid higher default tariffs. **Deadline: Q4 2026** for system implementation, ahead of 2027 certificate purchasing.
2. **Adapt to Kazakhstan's New Construction Code:** Review and update your internal accounting policies, especially for material consumption and cost write-offs, to align with the new Construction Code effective July 1, 2026. Develop and approve **internal material consumption standards** and ensure all material costs are based on **actual purchase prices** with proper documentation. **Deadline: Ongoing, immediate action required.**
3. **Leverage ESG Incentives:** Explore the Export Credit Agency of Kazakhstan's program for export insurance premium discounts (up to 10%) for ESG-compliant companies. Conduct an internal ESG assessment, focusing on environmental metrics like carbon footprint, to qualify for these financial benefits and enhance market access. **Deadline: Q3-Q4 2026** for initial assessment and application.
4. **Strategically Adopt Low-Carbon Materials:** Given the global push and regulatory trends (EU policy for cement), begin piloting and integrating low-carbon concrete and steel solutions into your projects. Engage with suppliers for product-specific EPDs and explore innovative materials like calcined clay or CO₂-mineralized concrete to prepare for future market demands and regulations. **Deadline: Ongoing, with pilot projects initiated in Q4 2026.**

Sources

- Carbon Herald. (2026, August 7). *European Commission Updates CBAM Guidance Ahead Of 2026 Rollout*. <https://carbonherald.com/european-commission-updates-cbam-guidance-ahead-of-2026-rollout>
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Generated by the ESG Intelligence Agent on August 11, 2026. Embodied-carbon figures are indicative cradle-to-gate (A1-A3) estimates — verify with product-specific EPDs before formal reporting.